

Deception and Rent-Seeking in Mega Projects: The Case of Turkey's PPP Roads

1. Introduction

Public-private partnerships (PPPs) are frequently advocated as mechanisms to accelerate infrastructure development and enhance the efficiency of public service delivery by harnessing the expertise and financial resources of the private sector (Cruz & Marques, 2013; Estache & Saussier, 2014; Roehrich et al., 2014). However, the success of PPPs hinges on adherence to fundamental governance principles, including a robust institutional framework, transparency, and accountability. When governance mechanisms are weak, accountability is limited, and transparency is inadequate, PPPs become vulnerable to manipulation, rent-seeking, and corruption, ultimately undermining their intended purpose of serving the public interest (Casady et al., 2020; Sabry, 2015). The potential for such risks necessitates a critical examination of PPP implementation in contexts where governance structures are compromised.

Turkey offers a particularly salient case study for investigating the risks associated with PPPs. Over the past two decades, Turkey has extensively adopted PPPs, yet this expansion has occurred alongside a decline in the quality of governance. Under the Justice and Development Party (AKP) administration, Turkey's political landscape has become increasingly authoritarian, leading to an erosion of institutional checks and balances. This environment has fostered corruption and cronyism, resulting in a significant departure from the principles of transparency and accountability that should govern PPP projects. Consequently, politically connected firms have disproportionately benefited, with PPPs transforming into vehicles for rent extraction, particularly through the provision of lucrative revenue guarantees. This misallocation of resources has undermined the effective use of public funds, exacerbated income inequality, and placed a considerable strain on public finances.

This article critically examines how PPP road projects in Turkey have deviated from serving the public interest, evolving instead into instruments for rent distribution due to governance deficiencies and political patronage. Specifically, it analyzes deceptive practices, the government's dissemination of asymmetric information, and the public's limited capacity to comprehend the true costs and long-term implications of these projects due to fiscal illusion. The Turkish experience serves as a cautionary example, highlighting the risks for countries considering PPPs in the context of similar governance vulnerabilities and tendencies toward rent-seeking behaviors. This study contributes to the broader literature by providing an in-depth empirical analysis of how compromised governance can distort the outcomes of PPPs, leading to unintended and detrimental consequences for the public good.

The remainder of this paper is structured as follows: Section 2 establishes the theoretical framework and reviews relevant literature on rent-seeking, asymmetric information, and fiscal illusion. Section 3 provides an overview of the Turkish PPP market. Section 4 investigates the impact of strategic deception on project outcomes. Section 5 examines the entanglement of PPP projects with the relationship between the government and the private sector. Section 6 discusses the

distributive effects and fiscal consequences of PPP projects. Finally, Section 7 draws main conclusions and provides policy recommendations.

2. Theoretical Framework and Literature Review

This section articulates the theoretical framework underpinning this study and provides a critical review of the relevant literature. It integrates theoretical perspectives to develop a comprehensive understanding of how deception and rent-seeking manifest within Turkish PPPs. Furthermore, it examines existing empirical research on information asymmetry, transparency deficits, and corruption in PPPs, with a specific focus on the Turkish context.

2.1. Theoretical Framework: A Political Economy Model of Rent-Seeking and Deception in Turkish PPPs

This study adopts a political economy model to examine the dynamics of PPPs in Turkey, focusing on deception and rent-seeking behaviors in large-scale PPP road projects. Transcending purely technical assessments, this framework integrates rent-seeking theory, asymmetric information theory, fiscal illusion, and institutional economics. This comprehensive approach allows for an analysis of how the pursuit and distribution of economic rents can distort the PPP process, leading to wealth transfer and the erosion of public welfare.

Rent-seeking theory (Krueger, 1974; Tullock, 1967, 1980) provides the foundation for understanding how actors strategically manipulate political and economic processes to capture economic rents. These manipulations include lobbying for favorable regulations, leveraging political connections to secure government contracts, and engaging in corrupt practices. Within the context of PPPs, rent-seeking behaviors by businesses manifest as inflated contract prices, excessive revenue guarantees that ensure government transfers irrespective of project performance, contract terms that minimize private investor risk (e.g., extended project duration), and circumvention of competitive bidding processes.

Asymmetric information (Akerlof, 1970; Shleifer & Vishny, 1993) plays a critical role in enabling rent-seeking activities. Informational asymmetries between the government, private firms, and the public distort policy outcomes by undermining accountability and facilitating adverse selection and moral hazard. In PPPs, this asymmetry arises from factors such as the inherent complexity of contracts (Auriol & Picard, 2013), lack of transparency in project costs and benefits (Flyvbjerg, 2009), and concealed contractual amendments or deviations from agreed-upon project specifications (Iossa & Martimort, 2016). Furthermore, the dissemination of misleading information through government-aligned media can exacerbate these imbalances (Flyvbjerg, 2012; Lopez & Schweitzer, 2023).

The resulting informational environment fosters fiscal illusion (Downs, 1957), where voters systematically underestimate the true costs of government expenditures (Buchanan & Wagner, 1977; Oates, 1988; Wagner, 1976). This distorts social preferences, leading the public to accept policies that obscure the actual financial burdens imposed on taxpayers. In PPPs, governments may strategically exploit fiscal illusion through mechanisms such as off-balance-sheet financing, obscuring the long-term financial burdens of revenue guarantees, and reliance on indirect taxes that conceal the true cost of projects from citizens.

While isolated instances of rent creation, rent-seeking, and informational problems might indicate typical market failures, their widespread and systematic presence often points to underlying institutional deficiencies and the influence of rent-seeking elites. As North (1990) argued, robust and transparent institutions are crucial for preventing corruption and ensuring efficient resource allocation. Conversely, in environments characterized by corruption, ineffective governance, and weak regulatory frameworks, rent-seeking and strategic deception can thrive, enabling politically connected actors to capture public resources and manipulate policy outcomes (Acemoglu, 2005; Acemoglu & Robinson, 2012; Khan, 2016; Winters & Page, 2009). The literature on political economy describes this type of rent-distribution governance using various terms, including favoritism, nepotism, clientelism, cronyism, crony capitalism, and state capitalism, each with its own distinct nuances. In countries with weak governance and institutional structures, PPPs can become a vehicle for creating and distributing rents. This is often facilitated by the granting of monopoly rights, particularly in public service and infrastructure markets, which frequently exhibit natural monopoly characteristics, as highlighted by Takano (2017, p.185).

By synthesizing these theoretical perspectives, this study offers a robust framework for examining the misuse of PPPs in Turkey. Rent-seeking theory illuminates the incentives driving private actors to capture public resources, while asymmetric information theory reveals how information disparities undermine accountability. Fiscal illusion theory demonstrates how governments can obscure the true financial implications of their decisions, and institutional economics situates these phenomena within a broader political economy context characterized by weak governance and the dominance of rent-seeking elites. This multifaceted approach allows for a nuanced understanding of the complex interplay of factors shaping the trajectory of PPPs in Turkey and contributing to a pattern of wealth transfer and strategic deception in large-scale infrastructure development.

2.2. Literature Review: Information Asymmetry, Transparency, and Rent-Seeking in PPP

This subsection reviews empirical literature focusing on factors significantly influencing PPP outcomes: information asymmetry, transparency, rent seeking, and corruption. While PPPs are often promoted for leveraging private sector expertise and capital, research increasingly highlights their vulnerability to manipulation and illicit practices, particularly in weak institutional environments. Transparency deficits can obscure financial risks and accountability, while rent seeking and corruption enable political and business elites to capture economic rents through preferential contracts. These factors are critical in understanding how PPP road projects in Turkey may deviate from their intended objectives of improving public service delivery and economic efficiency.

2.2.1. Information Asymmetry and Strategic Misrepresentation

A significant body of literature explores how information asymmetry and its related manifestations, such as manipulation, deception, misinformation, and misrepresentation, can undermine PPP effectiveness. This research is frequently framed within the principal-agent paradigm, highlighting the inherent misalignment of objectives between governments (principals) and private investors (agents). This divergence, compounded by asymmetrical information, creates substantial opportunities for opportunistic behavior (Feng et al., 2016; Shi et al., 2016; Xiong et al., 2018). Informational imbalances in PPPs arise from various sources, including the complexity of PPP contracts, private firms' technical expertise, control over proprietary information, and the strategic

withholding or selective disclosure of critical project data (Auriol & Picard, 2013; Engwall, 2003; Shleifer & Vishny, 1993).

Beyond simple asymmetries, scholars have examined deliberate manipulation and strategic misrepresentation in large-scale infrastructure projects. Flyvbjerg (2009), Koch (2012), and Reina and Angelo (2002) demonstrate that project promoters often engage in "strategic misrepresentation," systematically underestimating project costs and overestimating benefits to secure project approval and funding. This is often driven by underlying political and economic motivations to initiate projects that might not otherwise be justifiable based on objective cost-benefit analyses.

2.2.2. Transparency Deficits and Institutional Context

Despite a relatively limited body of research directly focused on transparency within PPPs, existing empirical evidence suggests that significant deficits persist across both developed and developing countries. In developed nations, such as the UK and Portugal, these deficits are apparent in the areas of financial reporting and contractual transparency (Stafford & Stapleton, 2017), as well as in the provision of adequate parliamentary oversight necessary for ensuring political accountability (Viana et al., 2023). Conversely, developing countries like Peru, Indonesia, and Malaysia face more pervasive challenges related to corruption and rent-seeking behavior within PPP frameworks (Gultom, 2021; Takano, 2017; Thillainathan & Cheong, 2019). Mukhopadhyay (2016) contends that the implications of poor transparency are more acute in PPPs compared to traditional models, specifically within the Indian context.

The level of transparency in PPPs is closely linked to the broader institutional environment in which they operate (Reynaers & Grimmelikhuijsen, 2015). Empirical evidence from Indonesia and Malaysia reveals how PPP arrangements facilitate rent-seeking when extractive institutions shape economic policies (Gultom, 2021; Thillainathan & Cheong, 2019). While establishing a definitive causal link between PPPs and corruption remains challenging, several studies indicate a strong positive correlation, particularly in developing economies (Cuadrado-Ballesteros & Peña-Miguel, 2021; Fleta-Asín & Muñoz, 2023; Teka & Doci, 2023). These findings align with theoretical and conceptual discussions by Schomaker (2020), Knorr and Schomaker (2016), Klitgaard (2012), and Iossa and Martimort (2013, 2016), which emphasize the inherent vulnerability of PPPs to corrupt practices due to their complex contractual structures and long-term commitments.

Further empirical studies reinforce these concerns. For instance, Jiménez et al. (2017) found that in Central and Eastern European countries, higher levels of corruption were associated with an increased probability of PPP failure. Similarly, Pusok (2016) observed that private capital participation in PPP projects is highly sensitive to corruption, which negatively impacts the efficiency of PPP investments in developing countries. More broadly, these findings are consistent with wider evidence highlighting the significant influence of institutional quality on the success and investment levels of PPPs, especially in developing contexts (Fleta-Asín et al., 2022; Gupta & Sharma, 2023; Pérez-D'Oleo et al., 2015; Wang et al., 2019). Furthermore, institutional structures and ideologies shape the dynamics between state and private sector actors, affecting rent distribution and rent-seeking activities (Jones & Bloomfield, 2020; Wijaya & Camba, 2021).

Collectively, these studies emphasize the critical risks posed by opacity in PPP arrangements and underscore the potential for governance failures that undermine their intended benefits.

2.2.3. The Turkish Context: Revenue Guarantees and Governance Challenges

Several studies have specifically examined the Turkish context, providing insights into the unique challenges and outcomes associated with PPP projects in the country. However, the limited public availability of detailed data on PPP projects in Turkey constrains the number of available empirical studies. Despite this limitation, existing research has documented significant concerns regarding revenue guarantees and governance in Turkish PPP road projects. For instance, Solak (2022) compares toll rates on publicly and privately financed toll roads, revealing substantial disparities. The study demonstrates that while publicly funded toll roads maintain reasonable rates that cover all costs in the long run, PPP-financed roads impose significantly higher rates. These inflated toll rates result in lower-than-projected traffic volumes, underutilization of infrastructure capacity, and considerable budgetary burdens on the government due to its revenue guarantee commitments. Similarly, Kayhan & Jenkins (2016) demonstrate that excessively generous revenue guarantees in Turkish PPP road projects lead to socially inequitable outcomes. These findings are further supported by the International Monetary Fund (IMF) (2017a), which highlights the limited disclosure of information pertaining to guarantees and payment flows in PPP reporting, identifying it as a growing source of fiscal risk for the Turkish government.

Beyond revenue guarantees, the literature also points to significant governance challenges in Turkish PPPs, particularly concerning transparency, accountability, and favoritism. Emek and Acar (2015) document the increasing prevalence of non-competitive tendering processes, such as direct procurement and restricted procedures, during the AKP era. These practices have led to a decline in competitive open bidding, resulting in PPP contracts being awarded predominantly to a smaller group of firms with close ties to high-level government officials. More recently, Ayhan and Üstüner (2023) identified nine key governance issues in Turkish PPPs: complexities of megaprojects, fragmented legal and regulatory frameworks, weak institutional capacity, risk-sharing discrepancies, poor value for money, unaffordable public services, lack of transparency, limited accountability, and disregard for environmental sustainability. Employing a critical political economy approach, they argue that PPPs in Turkey have been instrumental in driving construction-led economic growth, channeling resources to pro-government capital groups, and consolidating political power. This neoliberal transformation, they contend, has prioritized financialized capital accumulation over social and environmental sustainability, further exacerbating governance failures.

In summary, existing research on Turkish PPPs reveals persistent challenges related to transparency, efficiency, and governance, wherein excessive revenue guarantees, non-competitive procurement processes, and elite capture have compromised the social and economic objectives of these partnerships, leading to inefficiencies and increased fiscal risks for the Turkish government. Building upon these findings, this paper provides a more thorough investigation of information asymmetry, transparency deficits, and revenue guarantees in Turkish PPP road projects. By delving into these dynamics in greater detail and contextualizing these micro-level issues within a broader political economy framework—aligning with the approach demonstrated by Ayhan & Üstüner

(2023)—this study contributes additional empirical evidence to substantiate the theoretical claims presented herein.

3. The Turkish PPP Market: An Overview

In alignment with the broader trend among low and middle-income nations, Turkey has extensively adopted PPPs as a central instrument for financing infrastructure development and addressing budgetary constraints. This strategic orientation has resulted in a substantial increase in both the number and financial scale of PPP projects. Between 1986 and 2023, Turkey initiated 272 PPPs across essential public infrastructure sectors, predominantly in transportation, with a total contract value exceeding \$215 billion. Notably, 87% of these investments were launched during the AKP administration, with a marked acceleration occurring after 2010 (see Fig. 1). The ratio of PPP investments to GDP has averaged 1.33% annually since 2010, underscoring the increasing prominence of PPPs in Turkey's economic development strategy (SBD, n.d.).

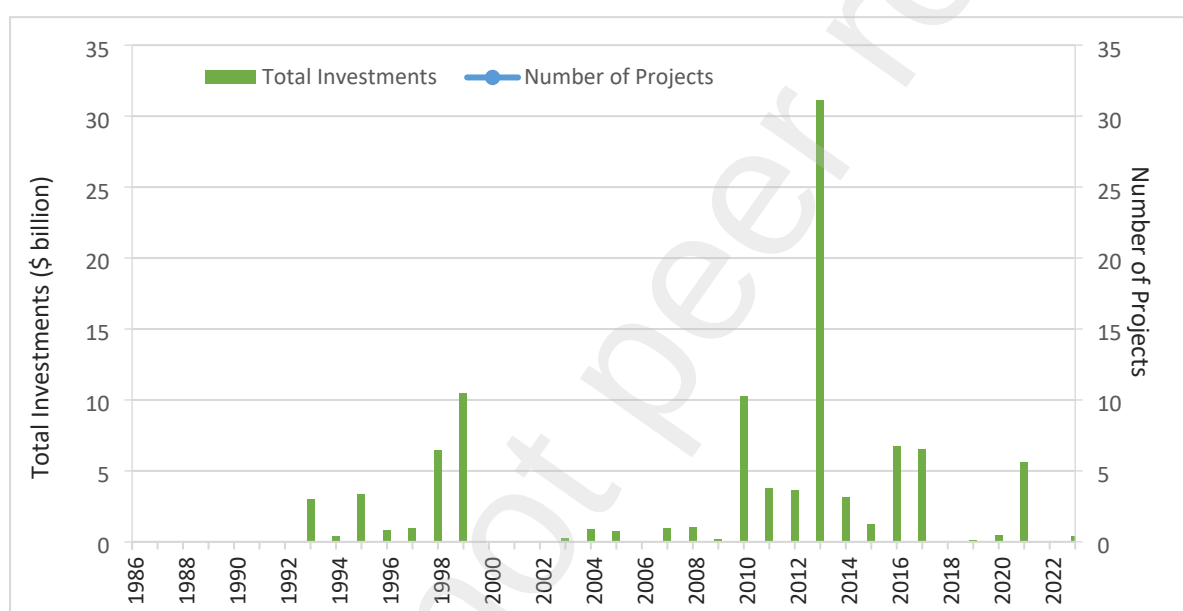


Fig. 1. Number of PPP projects and total investment in Turkey, 1986–2023. Source: SBD (n.d.).

An analysis of the distribution of these projects by PPP sub-type reveals the predominance of the Build-Operate-Transfer (BOT) model, accounting for 128 projects. This is followed by Transfer-of-Operation-Rights (TOR) arrangements, comprising 121 projects, while Build-Lease-Transfer (BLT) and Build-Operate (BO) schemes represent a comparatively smaller segment of the portfolio (SBD, n.d.). The prevalence of BOT arrangements signals a strategic emphasis on attracting private capital and leveraging private sector expertise for greenfield infrastructure initiatives.

A defining characteristic of the Turkish PPP program is the prevalence of large-scale infrastructure projects, or ‘megaprojects,’ defined by investment values exceeding \$1 billion. As of 2023, thirty-five projects within the Turkish PPP portfolio possess investment values exceeding \$1 billion. This includes twenty-one greenfield projects with a physical asset value of \$1 billion or more. The Istanbul Airport project, which reached financial closure in 2015 and commenced operations in 2019, exemplifies this trend, standing as one of the largest single PPP initiatives globally with an investment value of \$35.59 billion (World Bank, n.d.a).

Within the broader PPP framework, road projects, which are the focal point of this study, have emerged as a particularly significant category with total investments totaling approximately \$34.36 billion (see Fig. 2). These initiatives, all launched after 2013, encompass the construction of 1,514 km of high-standard motorway – the Northern Marmara Motorway (443 km), the Gebze-Orhangazi-İzmir Motorway (426 km), the Ankara-Niğde Motorway (330 km), the Aydın-Denizli Motorway (163 km), the Malkara-Çanakkale Motorway (101 km), and the Menemen-Aliğa-Çandarlı Motorway (96 km) – and include high-profile megaprojects of international prominence, such as the Orhangazi Bridge, the Yavuz Sultan Selim Bridge, and the 1915 Çanakkale Bridge (GDH, n.d.a).

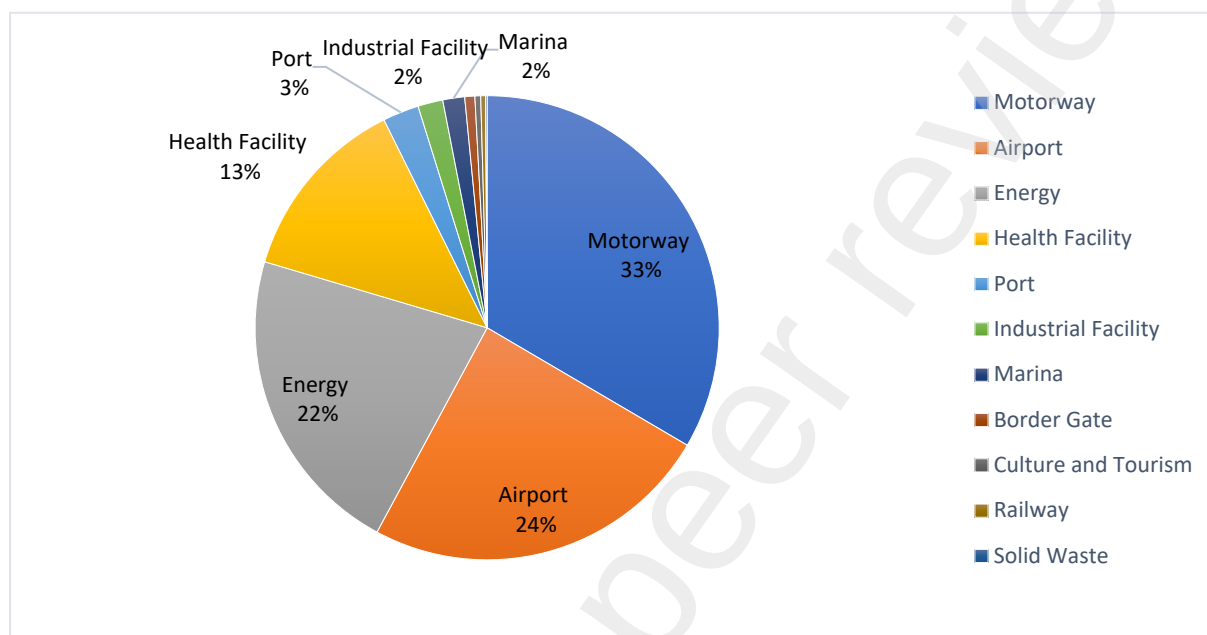


Fig. 2. Sectoral distribution of PPP project investment values in Turkey (1986–2023). Source: SBD (n.d.).

4. Information Asymmetry and Transparency Deficits: Undermining Accountability in Turkish PPP Road Projects

PPP road projects in Turkey are marked by systemic information asymmetry and widespread transparency deficits across all stages, including planning, contract negotiation, implementation, and operation. This opacity impedes informed public discourse and prevents citizens from critically evaluating the true social costs and benefits associated with these infrastructure investments. This section examines three salient dimensions of the transparency deficit in Turkish PPP road projects: (1) the manipulation of feasibility reports and revenue guarantees; (2) contract secrecy and the concealment of amendments; and (3) the obfuscation of budgetary transfers related to revenue guarantees.

4.1. Manipulation of Feasibility Reports and Revenue Guarantees

Prudent transportation infrastructure development requires rigorous evaluation and analytical frameworks. Feasibility reports should serve as critical instruments for assessing project viability, delineating risk profiles, and quantifying potential benefits ex ante, before committing substantial public resources. A core component of this assessment is a comprehensive cost-benefit analysis (CBA), designed to mitigate inefficient resource allocation (Boardman et al., 2018). However,

Turkish PPP road projects often exhibit a concerning pattern of undermining substantive CBAs, with feasibility studies reduced to perfunctory exercises primarily intended to satisfy tendering requirements (T.R. Ministry of Development, 2018). Consequently, the estimated benefits and costs presented to the public are frequently unreliable, raising fundamental questions about transparency, accountability, and overall integrity of decision-making processes.

Table 1

Demand guarantees and actual user numbers in PPP bridge projects

Projects	Contract Guarantees (Car equiv./year)	Actual Traffics (Car equiv./year)					Average Guarantee Fulfillment Rate
		2017	2018	2019	2021	2024	
Yavuz Sultan Selim Bridge	49,275,000	15,023,632	14,923,128	13,796,911	13,806,847	21,201,416	32.0%
Osmangazi Bridge	14,600,000	7,509,202	9,098,962	8,486,028	10,934,635	19,464,305	76.0%
1915 Çanakkale Bridge*	16,425,000	-	-	-	-	2,684,738	16.3%

* Note: The 1915 Çanakkale Bridge was opened for use in 2023.

Source: Tuncer (2021); Yılmaz (2023, p.64-75) and other open internet sources, compiled and edited by the author.

Table 2

Demand guarantees and actual user numbers in PPP motorway projects

Projects	Contract Guarantees (Car equiv./year)	2021 Actual Traffics (Car equiv./year)	Average Guarantee Fulfillment Rate
North Marmara Motorway			
1st Section	45,243,940	5,010,766	11.1%
2nd Section	60,325,010	12,385,297	20.5%
4th Section	72,628,430	10,523,989	14.5%
5th Section	52,292,455	821,868	1.6%
6th Section	34,861,515	5,483,673	15.7%
7th Section	44,425,696	2,805,414	6.3%
Gebze-Orhangazi-İzmir Motorway			
1st Section	14,600,000	13,262,126	90.8%
2nd Section	12,775,000	13,020,649	101.9%
3rd Section	6,205,000	7,124,761	114.8%
4th Section	8,395,000	4,394,264	52.3%
Menemen-Aliğa-Çandarlı Motorway	12,775,000	2,919,987	22.9%
Ankara-Niğde Motorway			
1st Section	12,410,000	1,965,048	15.8%
2nd Section	8,395,000	365,027	4.3%
3rd Section	6,570,000	2,701,737	41.1%
Malkara-Çanakkale Motorway*	16,425,000	3,786,539	23.1%
Aydın-Denizli Motorway*			
1st Section: Aydın-Kuyucak	12,775,000	2,790,542	21.8%
2nd Section: Kuyucak-Denizli**	11,680,000	-	

* Note: Actual traffic is for the year 2024.

** Note: Kuyucak-Denizli section was opened for use in 2024.

Source: Yilmaz (2023, p.64-75) and other open internet sources, compiled and edited by the author.

A prominent manifestation of this deficiency is the consistent inflation of traffic volume projections, which artificially skews calculated project benefits. As Tables 1 and 2 demonstrate, a stark divergence exists between projected (demand guarantees) and actual traffic volumes across numerous PPP road projects. In some instances, actual usage has fallen below 10% of initial projections. For example, the Northern Marmara Motorway's 5th Section traffic fulfillment was only 1.6%. This suggests a deliberate manipulation of data intended to create an artificially attractive investment profile, justify investment decisions, and garner support for projects that might otherwise lack demonstrable economic merit.

Furthermore, these inflated traffic volume projections were strategically employed to justify excessive revenue guarantees, facilitating the transfer of public resources to private contractors. Many projects were implemented with high revenue guarantees despite their inherent lack of commercial viability. For example, the Third Bosphorus Bridge, a key component of the Northern Marmara Highway project, initially failed to attract investor bids despite a traffic guarantee of 100,000 vehicles per day. To secure investor interest, the government increased the guarantee to 135,000 vehicles per day (Emek, 2015). This exemplifies how projects ill-suited for the PPP model are implemented through unsustainable guarantee mechanisms.

The reliance on manipulated projections is compounded by deliberately misleading public pronouncements. Despite the foreseeable need for significant public subsidies to offset revenue shortfalls, policymakers have often made claims that "not a penny will come from the state's pocket." This misrepresentation facilitates the implementation of projects with limited social benefits while concealing their true economic burden from the public, precluding informed public debate, even after operational projects reveal significant estimation errors. Such rhetoric undermines public trust and hinders effective oversight.

Another critical issue pertains to the rationale for selecting the PPP model. The principle of "value for money" (VfM) serves as a globally accepted standard for guiding public investment decisions (Grimsey & Lewis, 2002). Turkey's Public Financial Management and Control Law No. 5018 mandates this assessment. According to the law, prior to adopting the PPP model, responsible administrations must analyze alternative procurement methods, conduct thorough cost-benefit analyses of each alternative, and select the method that demonstrably provides the expected benefits most efficiently. However, evidence suggests that such analyses are not routinely conducted before adopting the PPP model (Cangöz et al., 2021; Emek, 2021a). Furthermore, even when such analyses exist, they are systematically withheld from public scrutiny, reinforcing the impression of deliberate obfuscation. Consequently, projects that would never have been commercially viable – or could have been realized more efficiently through traditional procurement methods – are instead implemented using the PPP model, selectively portrayed as the most suitable despite a lack of supporting evidence.

In summary, a critical examination reveals a pattern of strategic withholding of information and manipulation beneath the facade of robust cost-benefit analyses in Turkish PPP road projects. The combination of manipulated demand forecasts, generous revenue guarantees, and restricted transparency casts doubt on the claimed benefits and raises concerns about potential rent-seeking

behavior. This manipulation of feasibility reports and revenue guarantees exemplifies the systemic information asymmetry that undermines accountability.

4.2. Contract Secrecy and Concealed Amendments

Transparency and accountability are cornerstones of responsible contract management. However, in Turkey's PPP road projects, these principles are systematically subverted through a deliberate policy of contract secrecy. Politicians and the General Directorate of Highways (GDH) routinely shield project contracts from public scrutiny under the guise of "commercial confidentiality," masking an intention to avoid public accountability.

This concealment extends to critical contractual elements, including traffic and revenue guarantees, mechanisms for managing exchange rate and inflation differentials, termination and revision clauses, penal sanctions, collateral provisions, taxation advantages, force majeure protections, toll rate regulations, and dispute resolution mechanisms. By systematically withholding these details, the government directly undermines public accountability, preventing citizens, journalists, and oversight bodies from adequately assessing the financial risks and liabilities imposed on public resources.

This deliberate restriction of public access to project details inevitably cultivates an environment ripe for speculation, misinformation, and distrust. For instance, opposition parties have repeatedly voiced concerns about opaque budgetary transfers and questionable revenue guarantees. The lack of transparency also allows different media outlets to present contradictory claims, making it difficult for the public to form an informed opinion about the true costs and benefits of these projects.

Compounding this, contractual amendments in PPP projects pose another challenge to transparency (Guasch et al., 2003; PPP Certification, n.d.). Changes such as revisions to project scope, duration, and revenue guarantees are critical matters necessitating public scrutiny. International organizations and media reports have documented the widespread prevalence of post-award contractual amendments in Turkish PPP projects, consistently highlighting the profound lack of transparency surrounding these modifications (Emek, 2021b; Kahveci, 2021; World Bank, 2020). Despite their demonstrably significant financial implications, public access to detailed information about these amendments remains severely limited. The case of the Kurtköy-Akyazı Highway Project provides a particularly egregious example of the magnitude of undisclosed contractual changes and their potential impact on public resources. Originally tendered on May 4, 2016, the project underwent a major amendment on September 16, 2019, during the construction phase. This amendment included an increase in investment costs, an upward revision of vehicle guarantees, an extension of the contract duration, and a drastic increase in the revenue guarantee—from an initial \$1.9 billion to a staggering \$5.8 billion (Emek, 2021b; Toker, 2021). The details of this amendment, with its obvious and significant implications for taxpayers, were largely withheld from public access, reinforcing the impression that these projects are deliberately shielded from scrutiny. Indeed, some media outlets report that the additional costs and risks associated with these modifications have been disproportionately borne by the public sector, effectively transferring wealth from taxpayers to private investors under a cloak of secrecy.

In conclusion, PPP road contracts and their subsequent amendments are systematically concealed from the public and even from the TBMM, representing a calculated effort to avoid accountability and scrutiny. This deliberate opacity prevents informed discussion of financial commitments and fiscal burdens. Ultimately, this systematic lack of transparency undermines the judicious use of public resources, hinders understanding of true costs, and fuels suspicions of corruption and rent-seeking.

4.3. Obfuscation of Budgetary Transfers for Revenue Guarantees

Effective public oversight of PPP projects hinges on transparent disclosure of the government's financial obligations. International bodies like the IMF (2007b) and the OECD (2024) emphasize that explicitly reporting contingent liabilities arising from PPP contracts is paramount for ensuring fiscal accountability and mitigating information asymmetry between the state and the public.

In Turkey, the Central Government provides loan guarantees to private partners involved in PPP projects, commitments monitored through the Ministry of Treasury and Finance's Public Debt Management Report. Beyond loan guarantees, the public sector assumes financial risks during the operational phase through revenue guarantees. These guarantees are typically structured around user volume and tariff rates, as stipulated in the contracts. Tariff rates, often denominated in foreign currency, are adjusted annually based on foreign exchange inflation rates. For instance, the Osmangazi Bridge project includes a revenue guarantee based on a daily traffic volume of 40,000 vehicles and a toll of \$35 per vehicle, resulting in an annual public obligation of approximately \$511 million (British Chamber of Commerce Turkey, 2020).

However, serious deficiencies in accounting practices and reporting mechanisms obscure the true financial burden of PPP road projects. Reports from the Turkish Court of Accounts (2021) indicate that the GDH consistently fails to fully reflect revenue guarantees in its financial statements. Furthermore, budgetary transfers arising from these guarantees are not presented in a clear and easily comprehensible manner, despite representing a substantial financial burden, as illustrated in Table 3. In 2023, approximately 24% of GDH's total expenditures are for PPP-related transfers. Road investment expenditures outside of PPP are 68.3%. In other words, PPP transfers are more than one-third of road investment expenditures outside of PPP (GDH, 2023, p.86).

Table 3

Budget transfers by GDH for demand guarantees in PPP road projects

Year	Budget Transfers (TRY)	Budget Transfers (USD)*
2017	1,127,888,686	299,024,016
2018	3,403,008,191	646,849,055
2019	5,109,568,164	860,196,661
2020	10,122,358,616	1,379,067,931
2021	14,255,620,419	1,098,275,841
2022	36,359,794,340	1,944,374,029
2023	56,824,228,277	1,932,139,690
Total	-	8,159,927,222

* Note: TRY values were converted to USD using year-end exchange rates.

Source: Turkish Court of Accounts (n.d.); GDH (n.d.b).

This lack of transparency appears to be deliberate. Instead of direct and explicit accounting, these substantial transfer payments are deliberately hidden within ambiguous budget categories. For example, they are often recorded as "Current Transfers" categorized as "Transfers to Households," or buried within the "Budget and Expenditure Data at the Activity Level" under the broad heading of "Road Transport – Activities Related to the Operation of Motorways." Since GDH also operates publicly funded motorways, this obfuscation makes it impossible to isolate the specific amount of transfers dedicated to PPP projects. Further compounding the issue, neither GDH's financial statements nor other publicly available reports provide a project-by-project breakdown of these transfers, precluding an accurate assessment of the true cost of each project to the public treasury.

This opacity extends beyond financial reporting, hindering parliamentary oversight. A review of the Turkish Grand National Assembly (TBMM)'s official website reveals numerous documented instances where relevant ministries have failed to provide substantive information in response to legitimate parliamentary inquiries. Written parliamentary questions from legislators seeking clarification on PPP project expenditures and actual traffic volumes are routinely ignored or met with evasive, non-committal responses. For example, in a written question (No. 7/1501, July 6, 2024), Özgür Ceylan, a Member of Parliament for Çanakkale, requested data on vehicle crossings and guarantee payments for the 1915 Çanakkale Bridge. The Minister of Transport responded with a boilerplate statement, claiming that "all operations and transactions in build-operate-transfer (BOT) projects are carried out in accordance with the legislation and within the framework of implementation contracts." Similarly, Harun Özgür Yıldızlı, a Member of Parliament for Kocaeli, submitted a written question (No. 7/19790, November 26, 2024) regarding vehicle usage in certain BOT projects, but received no response whatsoever. This institutionalized information withholding, even from elected representatives, underscores a systemic disregard for transparency. It is a fundamental democratic principle that citizens and their political representatives should be able to hold government and public officers accountable for decisions made and resources utilized (Stafford & Stapleton, 2017).

Adding to the lack of transparency, GDH routinely publishes traffic data for highways and bridges under its direct management but deliberately withholds similar data for PPP projects. For this study, unfortunately, we were able to partially access PPP-related traffic data by compiling information from other authors, newspaper reports, and other news portals on the internet. This selective disclosure not only violates the principle of transparency but also prevents meaningful comparisons between publicly operated infrastructure and PPP projects, hindering public accountability.

This pattern of behavior strongly suggests a deliberate effort by political and bureaucratic actors to conceal the true financial burden of PPP projects on the public budget. The lack of transparency surrounding public transfers and actual traffic volumes appears directly linked to the substantial size of the budget transfers, as seen in Table 3. Revealing the full extent of these obligations would impose significant political costs on decision-makers and undermine the narrative, frequently repeated at the launch of these projects, that "not a single penny will come out of the state's pockets." Transparent reporting of financial burdens would shatter this carefully constructed illusion, shifting public perception and increasing scrutiny of these PPP ventures. The deliberate obfuscation of accounting practices, therefore, serves to protect both political reputations and the

perceived viability of the PPP model itself, even at the expense of public accountability. This systematic obfuscation of budgetary transfers for revenue guarantees further obscures the true financial burden of PPPs, deepening the information asymmetry and limiting public scrutiny.

5. Rent Seeking in Turkish PPPs: A Political Economy Perspective

The obfuscation of budgetary transfers, as discussed in the previous section, creates opportunities for rent-seeking by politically connected firms. This section explores how such practices have flourished within Turkey's Public-Private Partnership (PPP) framework. Over the past fifteen years, Turkey has experienced a demonstrable erosion of institutional integrity. During this period, the ruling AKP has transitioned from inclusive governance towards an extractive approach to public policy, concentrating power and resources within a select circle of politically loyal elites (Esen & Gümüüşçü, 2018, 2021). PPP projects have become a central instrument in this strategy, frequently characterized by favoritism toward politically connected firms, a lack of transparency, and the systematic circumvention of competitive bidding processes. Consequently, these PPPs have functioned as conduits for rent transfer, enabling the government to reward allied businesses while consolidating electoral advantages.

Understanding the dynamics of rent transfer in AKP-era PPPs requires a comprehensive analysis of the party's intricate relationships with the business sector and the media. This section examines how these relationships, embedded within the broader political economy of the AKP era, facilitate the strategic manipulation of PPP projects in Turkey to benefit a select group of actors.

5.1. AKP's Symbiotic Relationship with Businesses: A Politically Orchestrated Rent-Seeking Mechanism

In contrast to conventional rent-seeking models driven by economic elites, the AKP has actively cultivated a loyal business class to consolidate its power. This involves integrating favored businesses into state resource allocation and sustaining its control over economic assets. The AKP has implemented a systematic mechanism to transfer public resources to select, politically aligned businesses, a practice that has significantly contributed to the party's enduring political dominance (Esen & Gümüüşçü, 2018; Gürakar, 2016).

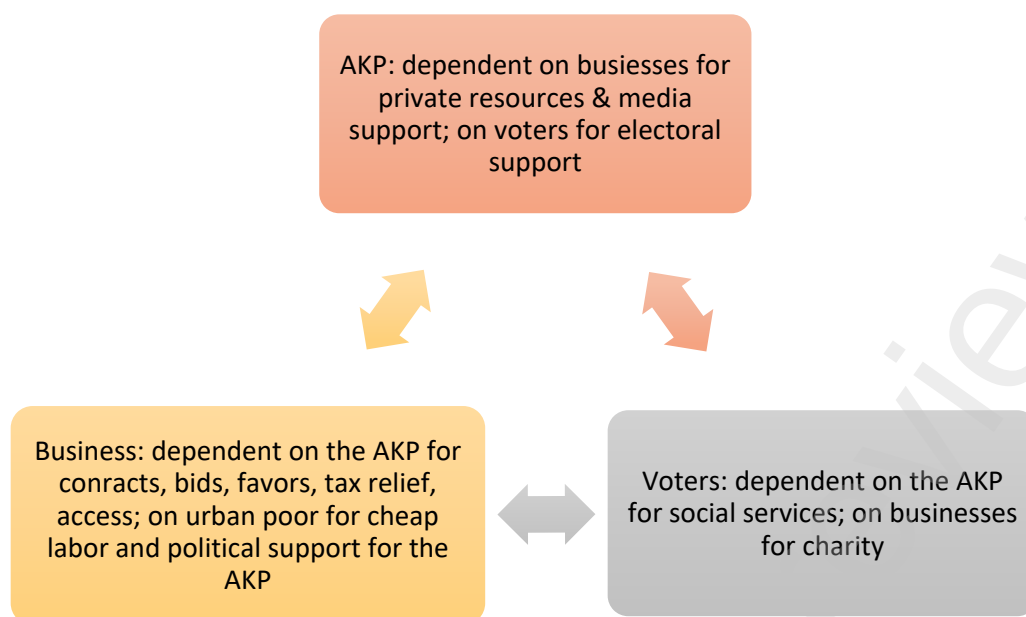


Fig. 3. AKP, business sector and voter relationship or triangular dependency. Source: Esen & Gümüşçü (2021, p.1080).

As depicted in Figure 3, this system, often characterized as crony capitalism or clientelism, facilitates the transfer of public resources to companies with close ties to the government, operating as a symbiotic exchange. Pro-AKP businesses depend on the government for rent capture through public procurement, construction permits, access to subsidized credit, and regulatory exemptions. In return, the AKP relies on these businesses for financial, material, and human resources, including campaign contributions, supportive media coverage, donations to affiliated charities and foundations, and the provision of goods to the urban poor (Esen & Gümüşçü, 2021). The detrimental ramifications of this system are demonstrably reflected in Turkey's precipitous decline on global corruption indices. For example, Transparency International's Corruption Perception Index reveals a significant deterioration: Turkey ranked 107th out of 180 countries in 2024 with a score of 34, a stark contrast to its 59th position out of 178 countries (score 44) in 2010, 66th out of 168 countries (score 42) in 2015, and 86th out of 180 countries (score 40) in 2020 (Transparency International, n.d.).

A critical element of this politically orchestrated rent-seeking mechanism is the Public Procurement Law (No: 4734). The AKP strategically amended this law no fewer than 63 times, introducing over 200 changes to various provisions, thereby expanding governmental discretion in awarding contracts and circumventing competitive bidding processes (Republic of Turkey Presidency Legislation Information System, n.d.). These amendments have enabled the government to more readily direct lucrative contracts to firms with strong political connections, often at the expense of more qualified or competitive bidders (Arat & Pamuk, 2019; Buğra & Savaşkan, 2014; Toker, 2019).

During its initial years in power, the AKP government utilized privatization as a key mechanism for rent distribution. From 2003 to 2018, the AKP government executed a substantial wave of privatization in Turkey, transferring approximately \$62 billion in public assets to the private sector. In comparison, only \$8 billion in assets were privatized from 1986 to 2002, highlighting the

significant impact of AKP's actions (see Fig. 4). While these privatizations were often justified on economic or efficiency grounds, they also served as a mechanism for redistributing public resources to businesses loyal to the AKP (Esen & Gümüşçü, 2018).

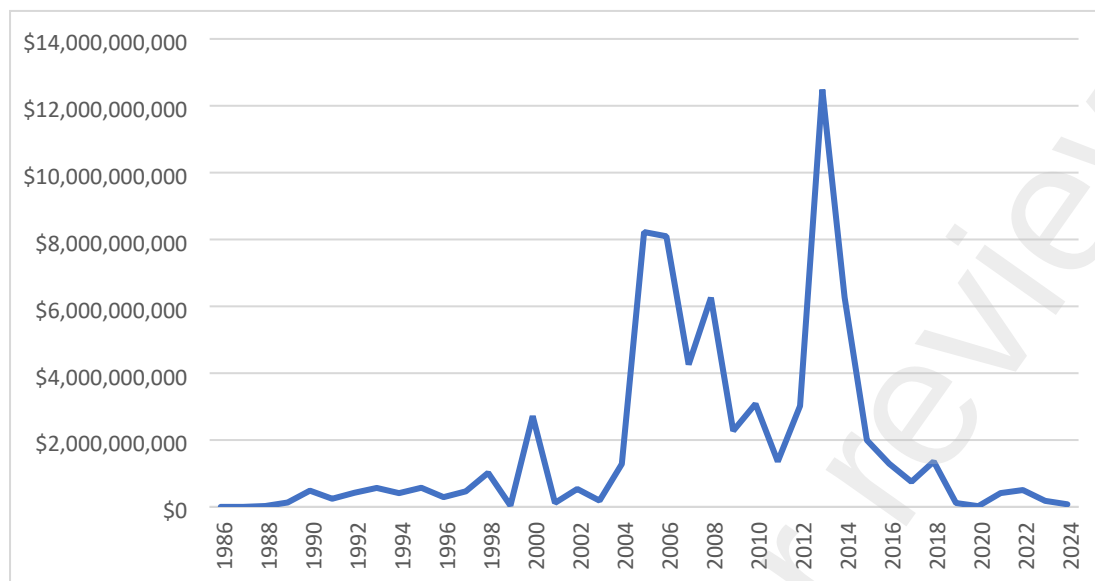


Fig. 4. Privatization in Turkey, 1986-2024. Source: T.R. Privatization Administration (n.d.).

The construction sector has emerged as a particularly significant channel for distributing rents to pro-AKP businesses. Gürakar & Bircan (2016) and Gürakar (2016, 2018) demonstrate that politically connected firms secured more than half of high-value construction procurement contracts. This concentration of public contracts among politically favored firms underscores the systematic nature of the rent-seeking mechanism operating within the construction sector.

Illustrative examples highlight these dynamics. In 2012, the privatization tender for bridges and motorways resulted in the cancellation of the highest bid, submitted by a consortium of Koç Holding, UEM Group Berhad, and Gözde Venture Capital. Although the official explanation cited bids falling short of expectations, the cancellation was widely attributed to the consortium's perceived political incompatibility with the ruling party. Furthermore, the construction of Istanbul's third airport, one of the largest PPP projects globally with a contract value of \$35.6 billion, was awarded to a consortium of companies with known ties to the government. This tender was conducted through a negotiated procedure under Article 21(b) of the Public Procurement Law, a provision intended for extraordinary circumstances (Toker, 2019, p.37–38).

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provision intended for extraordinary circumstances (Toker, 2019, p. 37–38). These examples clearly illustrate how political considerations outweigh economic merit in the awarding of major projects.

Beyond economic redistribution, the AKP has leveraged its rent-seeking system to secure electoral support. The party has encouraged pro-government businesses to finance party-affiliated foundations and social programs, ensuring that its voter base benefits from the system. For instance, the AKP has directed business groups to fund student dormitories and social facilities, strengthening its grassroots support. These initiatives solidify voter support and expand the party's social base through economic patronage, creating a deeper interdependence between the party and its business allies.

The AKP's rent distribution mechanism provides a crucial framework for understanding the proliferation of PPPs in Turkey. As a key component of this mechanism, and alongside privatization, PPPs have become a central instrument for channeling resources to favored entities. Data indicates that PPP contracts awarded under the AKP have surpassed \$188 billion (see Fig. 1). The World Bank has identified Turkey as the fourth-largest investor in PPP projects globally between 1990 and 2020, following China, Brazil, and India (World Bank, n.d.b). Strikingly, five pro-government Turkish companies—Limak, Cengiz, Kolin, Kalyon, and MNG—dominated the World Bank's list of PPP investments (Samar, 2018), highlighting the systematic nature of this distribution. These projects, prioritizing political allegiance over economic viability, are frequently structured with treasury and demand guarantees that ensure profits for favored firms while shifting financial risks to the state. Government-backed protections against foreign exchange fluctuations further insulate private contractors. This results in a system where contractors bear minimal risk; their losses are socialized, and their profits are privatized. Exacerbating this issue is the limited oversight of these projects, which often operate with minimal transparency and accountability.

5.2. Pro-government Media and Voter Manipulation

The media landscape in Turkey has undergone a significant transformation under the AKP. A pro-government media network has been systematically established to advance the political objectives of the government and its associated business elite. Pro-government businesses, many of whom have benefited from public contracts, own or finance major media outlets (Buğra & Savaşkan, 2014; Yeşil, 2018). This consolidation of media power has curtailed journalistic independence, resulting in news coverage increasingly aligned with the government and its business interests. These media outlets function as instruments of propaganda, amplifying the ruling party's messaging while discrediting opposition voices (Corke et al., 2014; Çarkoğlu et al., 2014; Esen & Gümüşçü, 2018).

Specifically concerning PPPs, pro-government media outlets have consistently promoted them while avoiding critical scrutiny. Mega PPP projects are presented as symbols of national progress and development (Flyvbjerg, 2005), deliberately employed to reinforce the ruling party's political messaging and cultivate voter support. The prevailing narrative, often emphasizing the purported scale of these projects through phrases such as "the world's largest airport" or "the world's longest bridge," aims to shape public perception in a manner favorable to the government. For instance, government-aligned media frequently highlighted the high number of vehicles using bridges during peak travel periods (Güngör, 2021, 2023; Yıldırım, 2022) but deliberately omitted any discussion of the state budget transfers required to meet contractual guarantees for private operators. Essential

details, such as the actual financial burden on taxpayers, cost-benefits of these investments to the society, and transparency in procurement processes, were notably absent from media coverage. This selective reporting distorts public perception and obscures the long-term economic costs.

Moreover, a significant portion of the AKP's voter base, often comprising the urban poor, remains unaware that PPP projects function as mechanisms for resource transfer ultimately funded by taxpayers. This "fiscal illusion" is compounded by the prevalence of indirect taxes (65-70%), which obscure the true extent of tax burdens. Consequently, these voters are particularly susceptible to government propaganda and largely uninformed about the economic burdens imposed by these projects. Because these PPPs channel resources to a specific group, they are inherently likely to exacerbate economic and social inequalities, placing a disproportionate burden on these same voters.

6. The Self-Defeating Consequences of Turkey's PPP Roads: Fiscal Illusion, Resource Misallocation, and Exacerbated Inequality

Intended to enhance infrastructure and stimulate economic growth, Turkey's extensive adoption of PPPs for road construction has paradoxically yielded detrimental consequences. These negative outcomes, stemming from the manipulation of PPP mechanisms coupled with rent-seeking practices, have resulted in fiscal illusion, resource misallocation, and exacerbated income inequality. This section analyzes these interconnected issues.

6.1. Revenue Guarantees and the Erosion of Public Finances

Over the past 15 years, Turkey has exclusively relied on PPPs to develop its motorway infrastructure, entirely displacing traditional procurement methods. While PPPs were promoted as a fiscally responsible solution to infrastructure deficits, in practice these projects have exacerbated fiscal pressures through revenue guarantees and off-balance-sheet financing, progressively eroding public finances.

PPPs are often presented as a mutually beneficial arrangement: private investors assume upfront construction costs, enabling governments to avoid immediate budgetary impacts. However, this apparent fiscal relief proves largely illusory. In Turkey, PPP road projects have deferred costs to future years, primarily through revenue guarantees extended to private investors. These guarantees ensure a minimum revenue stream, irrespective of actual traffic volume or toll collection. While this mechanism may shield the government from immediate financial strain during construction, it imposes significant fiscal burdens during the operational phase.

Table 4

PPP road project in Turkey

Project Name	Contract period* (Years)	Investment Year	Total Investment (million US\$)
Gebze-Orhangazi-Izmir Motorway	22	2013	2,800
Gebze-Orhangazi-Izmir Motorway	22	2014	600
Gebze-Orhangazi-Izmir Motorway	22	2015	6,356

Third Bosphorus Bridge (YSS) and North Marmara Motorway Project	10	2014	2,900
Third Bosphorus suspension bridge additional financing	10	2016	779
North Marmara Motorway Remaining Sections	8	2017	992
Ankara-Niğde Motorway	12	2018	1,315
Malkara-Çanakkale Motorway	16	2018	2,842
North Marmara Motorway (Kinali-Odayeri Section)	8	2018	1,040
North Marmara Motorway (Kurtköy-Akyazi Section)	7	2018	1,634

*Including construction period

Source: World Bank (n.d.a).

For instance, in 2022 and 2023, the total budgetary transfers required to fulfill revenue guarantees for Turkish PPP road projects exceeded the initial construction costs of major motorways such as the Ankara-Niğde and Aydın-Denizli routes (see Tables 3 and 4). This highlights a critical contradiction: PPPs, ostensibly adopted to alleviate fiscal pressures and reallocate public funds, have instead constrained the government's budgetary flexibility. The escalating financial obligations tied to revenue guarantees have strained public finances, potentially crowding out funding for essential services such as healthcare, education, and social welfare.

6.2. Underutilization: A Symptom of Inefficient Resource Allocation

A key indicator of inefficient resource allocation in Turkey's PPP road projects is the persistent problem of underutilization. Despite their strategic locations along major transportation corridors, many PPP motorways and bridges fail to attract sufficient users (see Tables 1 and 2). This underutilization is primarily driven by high toll rates, creating a stark contrast with comparable toll roads operated by GDH, which feature lower toll rates and, consequently, significantly higher traffic volumes. As an example, tolls on PPP motorways are seven times higher for cars and nearly nine times higher for six-axle heavy goods vehicles compared to GDH-operated motorways (Solak, 2022).

The elevated pricing in Turkish PPP road projects stems from two key factors: the inherent structure of the PPP model and unusually short contract durations. While budgetary constraints often justify the adoption of the PPP model, the rationale behind the unusually short contract periods (7–15 years) remains unexplained by policymakers. These short durations contrast sharply with the long-term contracts (nearly 30 years) common in other countries, which are designed to manage higher uncertainty, greater risk, and reliance on user-generated revenue.

The shorter contract periods in Turkey, coupled with generous public guarantees, suggest rent-seeking behavior. By significantly lowering the risk for private investors and shifting it to the public sector, these contracts concentrate benefits among politically connected firms while leaving the public to bear the financial burden. Therefore, these short contract periods not only distort the economic rationale of PPPs but also exacerbate underutilization by necessitating higher toll rates to ensure private profitability within a compressed timeframe.

The short contract periods in Turkey, combined with substantial public guarantees, indicate a propensity for rent-seeking behavior. By significantly mitigating risks for private investors and

transferring them to the public sector, these contracts concentrate benefits among politically connected firms, while the public is left to shoulder the financial burden. Consequently, these abbreviated contract durations not only distort the economic rationale of PPPs but also exacerbate underutilization, as they require higher toll rates to ensure private profitability within a reduced timeframe.

PPP road projects typically have significant user potential if access pricing is managed effectively. Therefore, strategic measures such as post-concession price adjustments or contract renegotiations could help mitigate underutilization. However, some projects, like the North Marmara Motorway and the Ankara-Niğde Motorway, exhibit limited user potential, at least in the near term, and are likely to remain underutilized due to fundamental flaws in the initial project selection process. In these cases, the primary issue lies not with the PPP model or pricing but with the projects' inherent unsuitability. The government's assumption of excessive risk, through generous revenue guarantees, allowed these projects to bypass proper scrutiny, resulting in their construction despite questionable social and economic benefits. Had well-designed PPP contracts with balanced risk-sharing been in place, such projects would likely have been screened out during the planning stages.

Ultimately, the implementation of these ill-conceived projects appears driven by political gains and opportunities for rent extraction, highlighting the misuse of the PPP framework in Turkey. This manipulation underscores the need for greater transparency, accountability, and rigorous project evaluation to ensure that PPPs serve public interests rather than private or political agendas.

6.3. Distributive Effects: The Role of Turkish PPPs in Rising Inequality

The implementation of Turkey's PPP road projects, examined through the lens of rent-seeking and cronyism, poses a significant risk of exacerbating income inequality and deepening existing disparities. While establishing a definitive causal link requires detailed econometric analysis beyond the scope of this paper, several indicators strongly suggest a disproportionate distribution of benefits. Turkey's Gini coefficient, a measure of income inequality, has steadily worsened since 2014 (see TUIK, 2024). In 2022, Turkey recorded the third-highest Gini coefficient among OECD countries, trailing only Costa Rica and Chile, underscoring its substantial income inequality (OECD, n.d.). This is coupled with a growing concentration of wealth among PPP contractors (Özçolak, 2022), suggesting a regressive impact where projects primarily benefit a select elite at the expense of broader public welfare. Persistent information asymmetries and fiscal illusions further obscure the true social costs and distributive effects of these PPPs. Although these indicators don't definitively prove a causal relationship between PPP roads and inequality, they strongly suggest a potential link, warranting further investigation.

Discussion and Conclusion

This study critically examines Turkey's PPP road projects under the AKP regime, revealing a systematic pattern of strategic deception and rent-seeking that has compromised fiscal stability and social equity. By integrating rent-seeking theory, asymmetric information theory, fiscal illusion, and institutional economics, this research offers a comprehensive framework for understanding how the PPP model in Turkey was manipulated to prioritize narrow political and economic interests over

public welfare. This manipulation, manifested through strategic deception, information asymmetry, and a lack of transparency throughout the project lifecycle, systematically benefited politically connected firms, resulting in inefficient resource allocation and a subversion of the intended welfare-enhancing goals of PPPs.

These findings challenge the widely held assumption that PPPs inherently deliver welfare benefits through technical expertise, competitive procurement, transparency, and accountability. Instead, this case study reveals that inherent design flaws fostered a concentration of asymmetric, non-transparent, and discretionary decision-making processes. These processes facilitated rent-seeking behaviors, which ultimately undermined public benefit and sound fiscal management. Rather than being a neutral infrastructure development mechanism, PPP road projects functioned as an instrument for consolidating political power, transferring wealth to select elites, and reinforcing government control over key economic assets.

A central factor contributing to this outcome was the pervasive and overly generous application of revenue guarantees. While intended to mitigate risk and attract private investment, these guarantees functioned as a primary mechanism for rent extraction, imposing substantial and potentially unsustainable long-term burdens on public finances. The government's assumption of excessive risk incentivized the implementation of projects that were either inherently unprofitable or economically unsustainable. This contrasts sharply with projects financed through user fees, which typically undergo more rigorous scrutiny regarding their economic value (Engel et al., 2014). The prevalence of revenue guarantees, therefore, created perverse incentives, encouraging the financing of projects where the overall social benefits did not justify the associated costs. This outcome aligns with broader concerns regarding PPPs in developing economies, where weak institutional structures and inadequate accountability mechanisms can facilitate rent-seeking and distort resource allocation, leading to underutilized infrastructure and reliance on public funding—the creation of ‘white elephants’ with negative social returns (Robinson & Torvik, 2005).

The analysis of Turkish PPP road projects reveals a trend characterized by inflated traffic volume projections, excessive revenue guarantees, and opaque budgetary transfers. These practices contributed to fiscal illusion and unsustainable public debt. The strategic manipulation of information undermined accountability, preventing informed public assessment of project costs and benefits. The deliberate concealment of contractual details and subsequent amendments exacerbated the lack of transparency, fostering speculation and eroding public trust. This was further enabled by the AKP's strategic cultivation of a loyal business class through favoritism toward politically connected firms, a lack of transparency in procurement, and the systematic circumvention of competitive bidding protocols. This patronage-based system contributed to Turkey's decline in global corruption indices. The consequences of these practices extend beyond fiscal mismanagement, with the underutilization of PPP roads due to high toll rates and short contract durations highlighting a fundamental misallocation of resources, disproportionately benefiting private companies at the expense of broader public welfare. Moreover, the implementation of Turkish PPP road projects through a rent-seeking and cronyistic lens poses a significant risk of exacerbating income inequalities and deepening societal disparities. The consequences of this model are far-reaching, encompassing the erosion of institutional integrity and the accumulation of public debt.

This research contributes to the growing literature on the risks and challenges associated with PPPs, particularly in contexts characterized by weak governance and corruption. The Turkish case serves as a cautionary tale, emphasizing the critical importance of robust governance frameworks, transparent procurement processes, independent oversight, and a strong civil society to mitigate corruption risks and ensure sound fiscal management. The Turkish experience offers invaluable lessons for developing countries navigating the complexities and risks of PPPs.

To mitigate these risks and promote more equitable outcomes, several policy recommendations are proposed. First, transparency in PPP contracts must be enhanced through public access to contractual information. Second, limiting the use of revenue guarantees or monetary compensation is essential to reducing fiscal risks (Iossa & Martimort, 2013). Third, institutional reforms are crucial to strengthening transparency, promoting competitive bidding, and enhancing public oversight. Finally, PPP project selection must be conducted carefully. While the Value for Money (VfM) framework exists in Turkish legislation, its effective implementation requires a stronger institutional framework.

While providing a comprehensive analysis, this study is limited by the scarcity of detailed project-level data on Turkish PPP road projects. Public disclosure of annual traffic data, demand and revenue guarantees, actual traffic volumes, and associated guarantee payments would enable more comprehensive, project-specific analyses in future research.

Future research should prioritize exploring the distributive impacts of PPPs and revenue guarantees using both quantitative and qualitative methodologies. Additionally, comparative studies with other countries facing similar PPP implementation challenges could yield valuable insights for developing best practices and policy recommendations.

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